

A perfect recent example was related to our hypothesis that the nonlinear impact of increasing coal imports by China could create a trading opportunity. China is by far the world's largest consumer and producer of thermal coal, accounting for about 50 percent of global activity. The market has grown at roughly 10 percent per year for decades now, which is in line with long-term GDP growth. Unlike most other commodities, which it must import, China has abundant physical reserves of coal. Demand growth has been consistently supplied by increased domestic production, with a small residual surplus that was exported. So, despite being the world's largest market by far, at roughly 3 billion tons per year, China's coal market operated essentially as a closed system.

We noticed, however, that there was a strong trend in the export/import balance. China had gone from being a net exporter to a net importer, and the pace of this trend shift was accelerating. It had taken nearly a decade for net exports to drop from roughly 100 million tons, to zero at the end of 2008. Yet it took only a year to cover the same ground in the other direction. By 2010, net imports were 150 million tons. Evidence that China was having major difficulties in expanding coal production at anywhere near the rate of its annual consumption increase reinforced the trend we were seeing in imports. If China needed to source 10 percent of its demand from international markets, total seaborne coal volume would have to jump over 50 percent. Our initial hypothesis was that China's thermal coal imports were likely to provide a secular tailwind to international thermal coal markets.

Our next step was to look at ways to express the trade. We settled on dry bulk freight as the most levered way to take exposure to increasing seaborne coal volume. The early indicators were promising, given that the shipping companies we looked at seemed to be trading at depressed multiples of cash flows, despite a healthy rebound in freight volumes and dry bulk rates since the advent of the global recession in 2008. We expected to see rapidly growing dry bulk demand outstripping growth in supply, which we speculated had dropped off significantly due to the global recession. The picture that came into focus, however, made it clear that our intuition had been completely wrong. It turned out that the supply pinch we expected to see had actually occurred several years